IN THE HIGH COURT OF JUSTICE — TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. HT-2026-000214

BRACKEN COATINGS & SURFACE TECHNOLOGIES LIMITED v MARLDON PROCESS SYSTEMS LIMITED

ADVICE ON MERITS AND QUANTUM

CONFIDENTIAL AND SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

Introduction

1. I am asked to advise Bracken Coatings & Surface Technologies Limited ("Bracken") on the merits and quantum of its claim against Marldon Process Systems Limited ("Marldon") arising out of the failed membrane bioreactor effluent treatment system supplied under a contract dated 14 March 2024. I have read the pleadings, the witness statements of Mr Ellis and Mr Morrow, the commissioning logs and the draft Schedule of Loss.

Liability

2. In my opinion Bracken's prospects on liability are good. The central question is whether the System was defective in design (Bracken's case) or whether its failures were caused by Bracken overloading it beyond the disclosed design basis (Marldon's case). The contemporaneous documents favour Bracken: the enquiry data pack of 9 January 2024 disclosed a COD loading of 1,900 to 2,200 mg/l, not the 1,200 mg/l now asserted by Marldon in its Defence. If that documentary point holds, Marldon designed to the wrong figure and the "overloading" defence falls away.

3. I assess Bracken's prospects on liability at approximately 70 to 75 per cent. The principal litigation risks are (i) the construction and reasonableness of Marldon's limitation and exclusion clauses (Conditions 9 and 12), and (ii) the remoteness of the loss-of-production head.

The exclusion and limitation clauses

4. Condition 9 purports to cap Marldon's total liability at the contract price of £1,480,000, and Condition 12 purports to exclude consequential loss including loss of production. These clauses are the most significant threat to full recovery. I consider that Bracken has reasonable prospects of defeating them under the Unfair Contract Terms Act 1977, the parties having contracted on Marldon's written standard terms, but the point is not free from doubt. If the cap survives, Bracken's recovery would be limited to £1,480,000.

Quantum

5. The pleaded claim is £2,165,000. The remedial-works and replacement-system heads (£642,000 and £915,000) are well evidenced by third-party invoices and are likely to be recovered substantially in full. The lost-production head of £558,000 is more vulnerable, both on remoteness and on the exclusion of consequential loss. The £50,000 investigation costs should be recoverable.

6. Taking the litigation risks together, I assess the realistic recoverable quantum, net of risk, in the range £1.45m to £1.65m. That assessment should inform Bracken's approach to any Part 36 negotiation.

ADR and recommendation

7. This is a case well suited to mediation. I recommend that Bracken make a claimant's Part 36 offer in the region of £1,650,000 to apply costs pressure, and that the parties be directed to mediation following exchange of expert evidence on the engineering issues.

HARRIET STANFORD

Eldon Chambers, Temple, London EC4Y 7BA

30 April 2026